



“The [US Federal Reserve] rate cut largely influences the value of the US dollar, which is inversely correlated with the price of bullion”

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THE 2024 PERFORMANCE

● According to reports, gold prices rose 15% by the end of 2023 ● It has continued this impressive run in 2024

MONTH	HIGHEST PRICE (\$/OZ)	LOWEST PRICE (\$/OZ)	KEY FACTORS
January	2,062.75	2,006.40	● Continuation of late 2023 uptrend
February	2,054.89	1,991.82	● Rising risk appetite; higher Treasury yields
March (Till 21)	2,224.80	2,083.65	● Early month bounce with new highs; subsequent boost after US Fed decided to keep interest rates unchanged

SOURCE BT RESEARCH

\$2,400–2,500 by year-end.”
Jateen Trivedi, VP of Research at LKP Securities, predicts that gold will outshine other investment vehicles such as stocks, bonds, and potentially even real estate in 2024. Though he believes real estate will do well, especially in India, he feels gold is the top choice in such uncertain times.
It is perhaps a reflection of the disruptions of the past five years, then, that domestic gold prices have doubled in the last five years.

THE HEADWINDS
It won’t be smooth sailing for the yellow metal, however. There could be some volatility in the months ahead. Chirag Mehta, CIO at Quantum AMC, says, “Gold prices could remain choppy in the months ahead as the market reacts to geopolitical developments and US monetary policy. Given the imminent turn in the US interest rate cycle, the

medium-term outlook for the precious metal looks promising.”
Besides, hopes of multiple interest rate cuts by central banks appear to be receding. That’s why global gold ETFs have witnessed net outflows. And though Indian gold ETFs saw an inflow of ₹657 crore in January, that was, perhaps, because investors sought to diversify their portfolios.
A delay in the anticipated easing of monetary policy is a concern because, historically, gold has delivered robust returns during periods of US Fed policy easing. Easing tends to bring down bond yields and weakens the dollar, which enhances the appeal of gold, a non-interest-bearing asset.
“Actually, there is no direct relationship between the US interest rate cut and gold price. However, a rate cut largely influences the value of the US dollar, which is inversely correlated with bullion price,” says

Hareesh V., Head of Commodities at Geojit Financial Services.
One major event that could cause a significant spike or dip in the domestic price of gold is the upcoming General Elections. “Elections often bring about uncertainty and volatility in financial markets, leading to fluctuations in currency values. Any unexpected outcomes or policy announcements following the election could impact the rupee’s value and subsequently affect gold prices,” says Trivedi. He adds that the full Budget after the polls will be important, and any announcement on imports can impact prices significantly.
There are other elections, too, this year, including the one in the US. Some outcomes will be domestically contained, but others may spill over onto the global stage. “Gold’s strong bounce at the start of March has taken it to new all-time highs. This suggests a market